Services Contribute More Positively than Goods in the External Trade Account

India has fared far better in terms of the services trade than goods trade for many years now. From 2013–14 to 2019–20, India's export of services rose from $151.8 billion to $213.2 billion in 2019–20, increasing by $61.4 billion. India's export of services in 2013–14 was 48.3 per cent of India's goods exports; in 2019–20, it improved to 68 per cent. While exports of goods declined even in absolute terms by $1.3 billion (from $314.46 billion in 2013–14 to $313.14 billion in 2019–20), export of services increased by as much as $61.4 billion. The share of services has risen to as much as 40.5 per cent of total export of goods and services of $526.34 billion in 2019–20. This heralds a significant transformation of India's exports. While goods exports have stagnated, services exports have maintained smart growth in the past seven years despite the fact that India's trade policy continues to lay emphasis on goods exports.

Though the import of services has also been rising at a fast clip (from $78.7 billion in 2013–14 to $128.3 billion in 2019–20), growth in export of services was much higher in absolute amounts. India had a surplus on account of services in 2013–14 of $73.1 billion, which increased by $11.9 billion to $84.9 billion in 2019–20.

India exported $96.1 billion worth of telecommunication, computer and IT services in 2019–20. The country's import of such services amounted to $10.2 billion. India thus had an impressive surplus of $85.9 billion in the IT segment of services, which was greater than the total surplus on the services account of $84.9 billion. In fact, the country's IT services exports make up 45 per cent of the total services export. IT services have been playing a stellar role in cushioning the pressure on India's foreign exchange account.

The largest trade deficit in the services group was recorded with respect to royalties at $6.8 billion in 2019–20. India is majorly dependent on foreign technology and FDI. As the benefits of foreign technology import